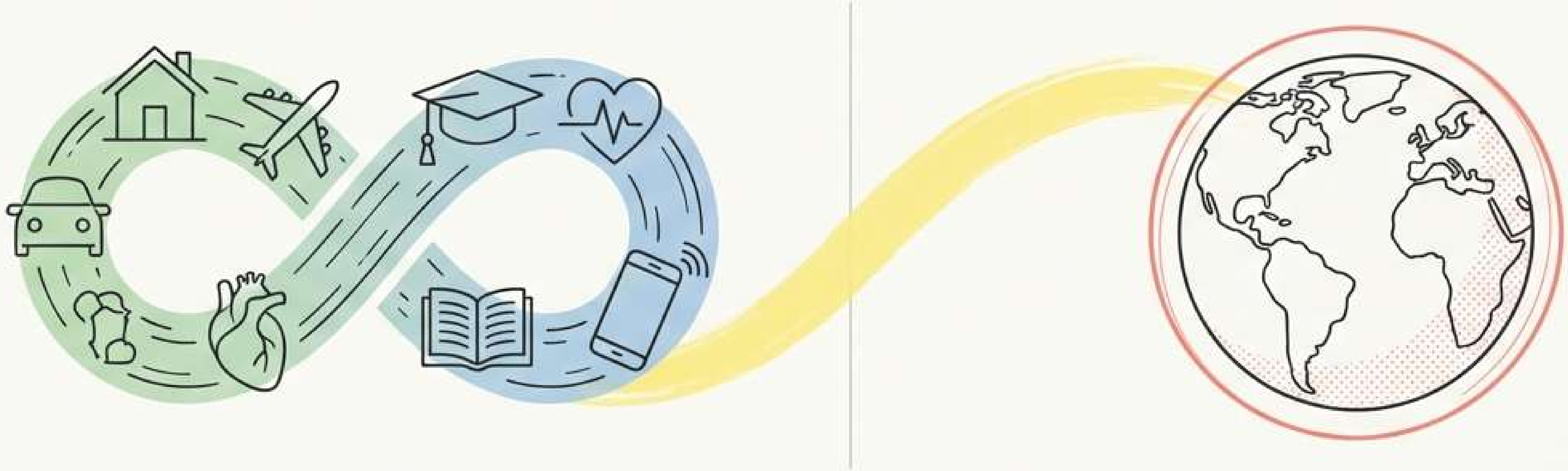
What is Economics?

The study of how we navigate a world of unlimited wants with limited means.



Economics is a social science that studies the production, distribution, and consumption of goods and services.

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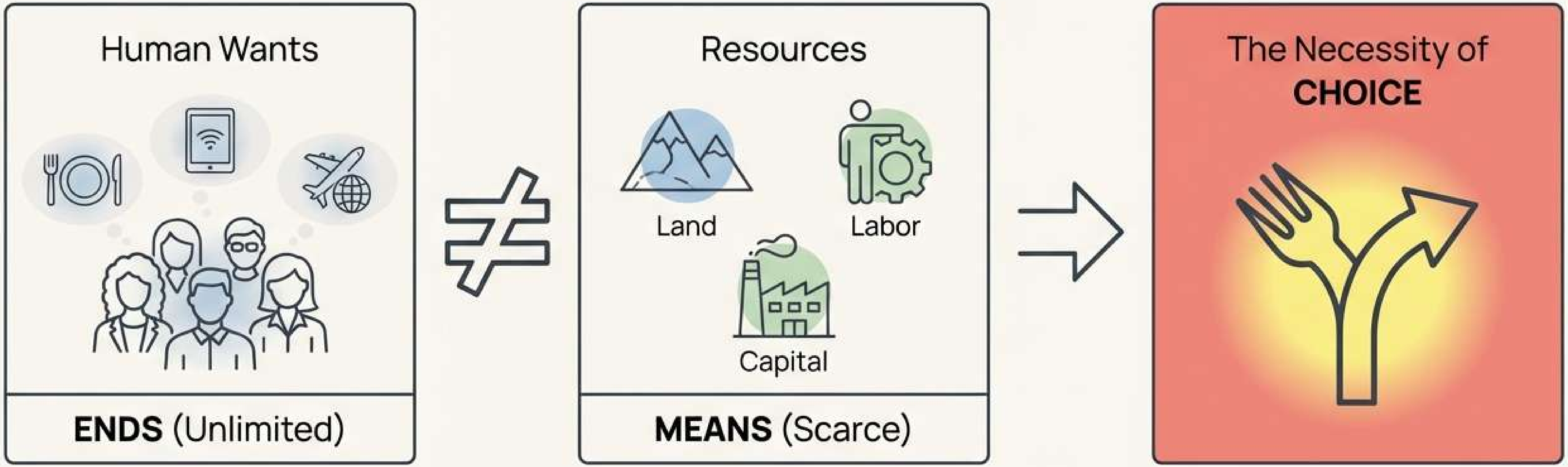
Why Does Economics Even Exist? The Problem of Scarcity.

"Economics is the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses." – Lionel Robbins, 1932



Scarcity forces people to choose, allocate scarce resources to competing ends, and economise.

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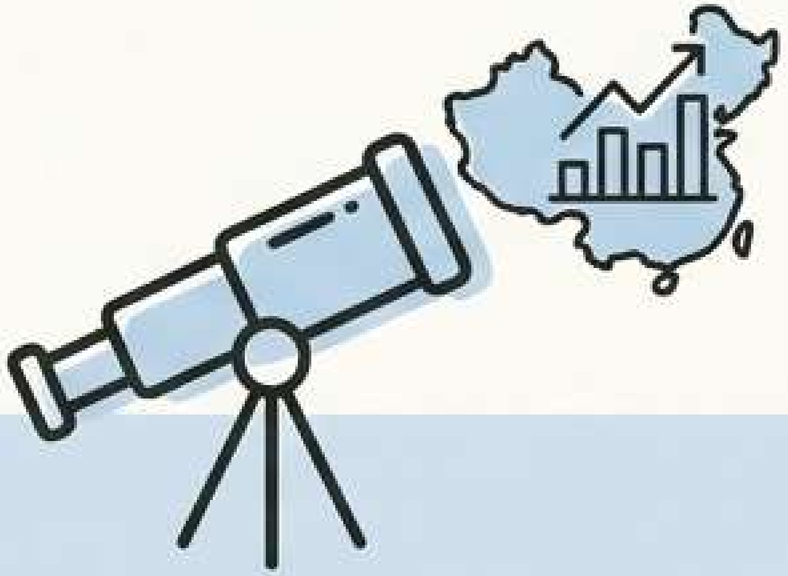
How Do We Study This Problem? The Two Lenses of Economics.

Microeconomics

Analyzes what is viewed as basic elements within economies, including individual agents and markets, their interactions, and the outcomes of interactions. Focuses on the choices of individuals and businesses.



Macroeconomics

Analyzes economies as systems where production, consumption, savings, and investment interact. Studies the behavior and performance of an economy as a whole.

Two distinct but interconnected perspectives to understand our economic world.

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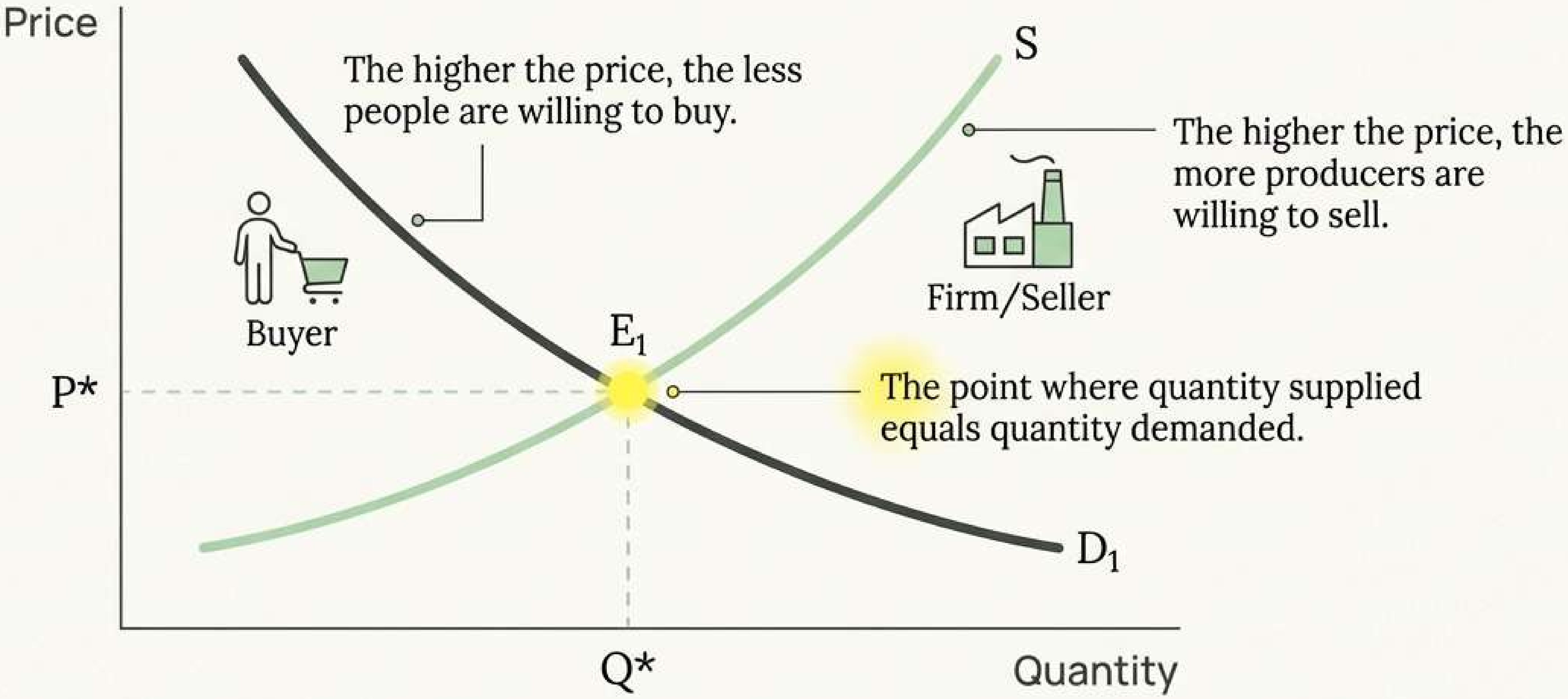
The Micro View: How Do Prices Get Decided?

The Theory of Supply and Demand: an organizing principle for explaining how prices coordinate the amounts produced and consumed.



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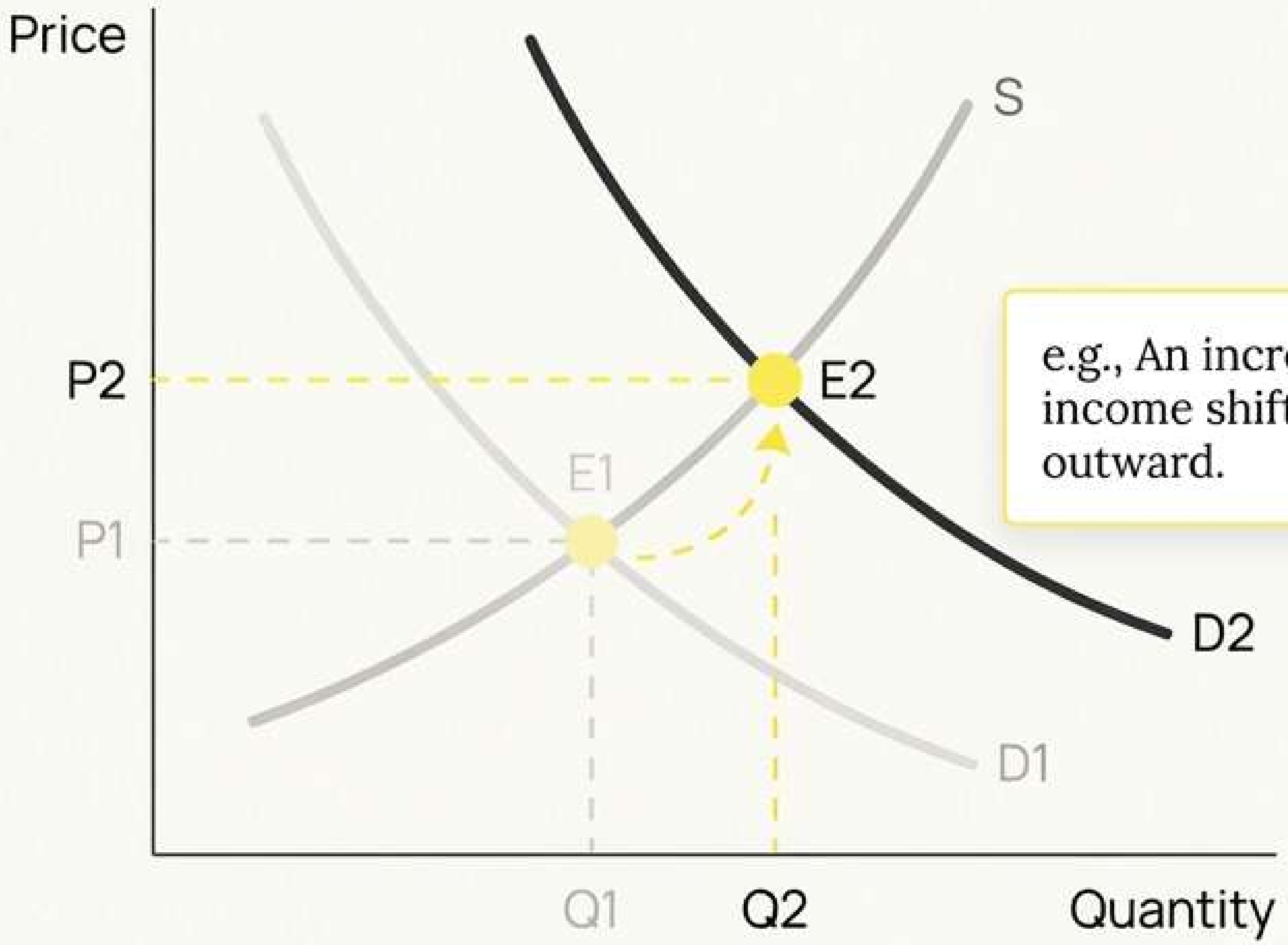
What Happens When Things Change?



e.g., An increase in consumer income shifts demand outward.

The model predicts a new price-quantity combination from a shift in demand or supply, showing how markets adapt.

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What if the Market Price Isn't the 'Right' Price?

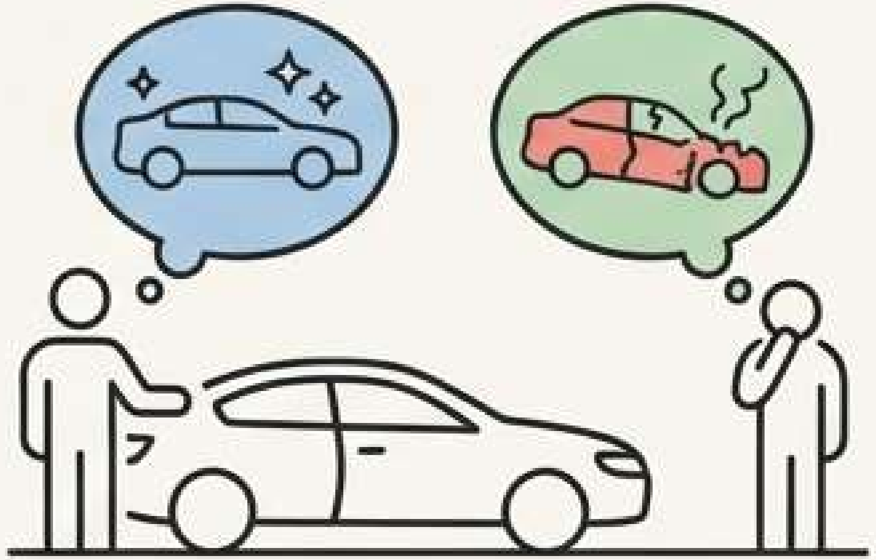
Market Failure: Situations which may undermine standard economic assumptions and lead to inefficient outcomes.

Externalities

Occur where there are significant social costs or benefits from production or consumption that are not reflected in market prices (e.g., pollution).

Public Goods

Goods that are under-supplied in a typical market because people can consume them without paying (e.g., national defense, street lights).



Information Asymmetry

When one party in a transaction has more or better information than the other, potentially leading to inefficient outcomes (e.g., the market for used cars).

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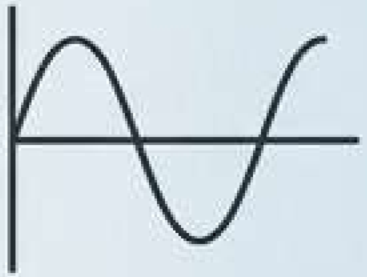
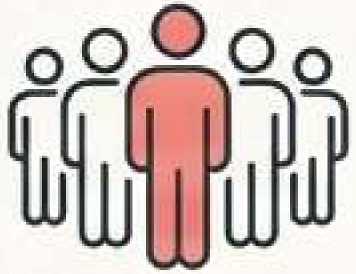
The Macro View: How Healthy is the Whole System?

Economic Growth:
The increase in output per capita over time.



Business Cycles:
Recurrent expansions, booms, recessions, and depressions.



Unemployment:
The percentage of workers without jobs in the labor force.

Inflation:
The level of retail price changes and the costs consumers pay.

Macroeconomics focuses on foreign trade, government fiscal and monetary policy, and the growth of total production output.

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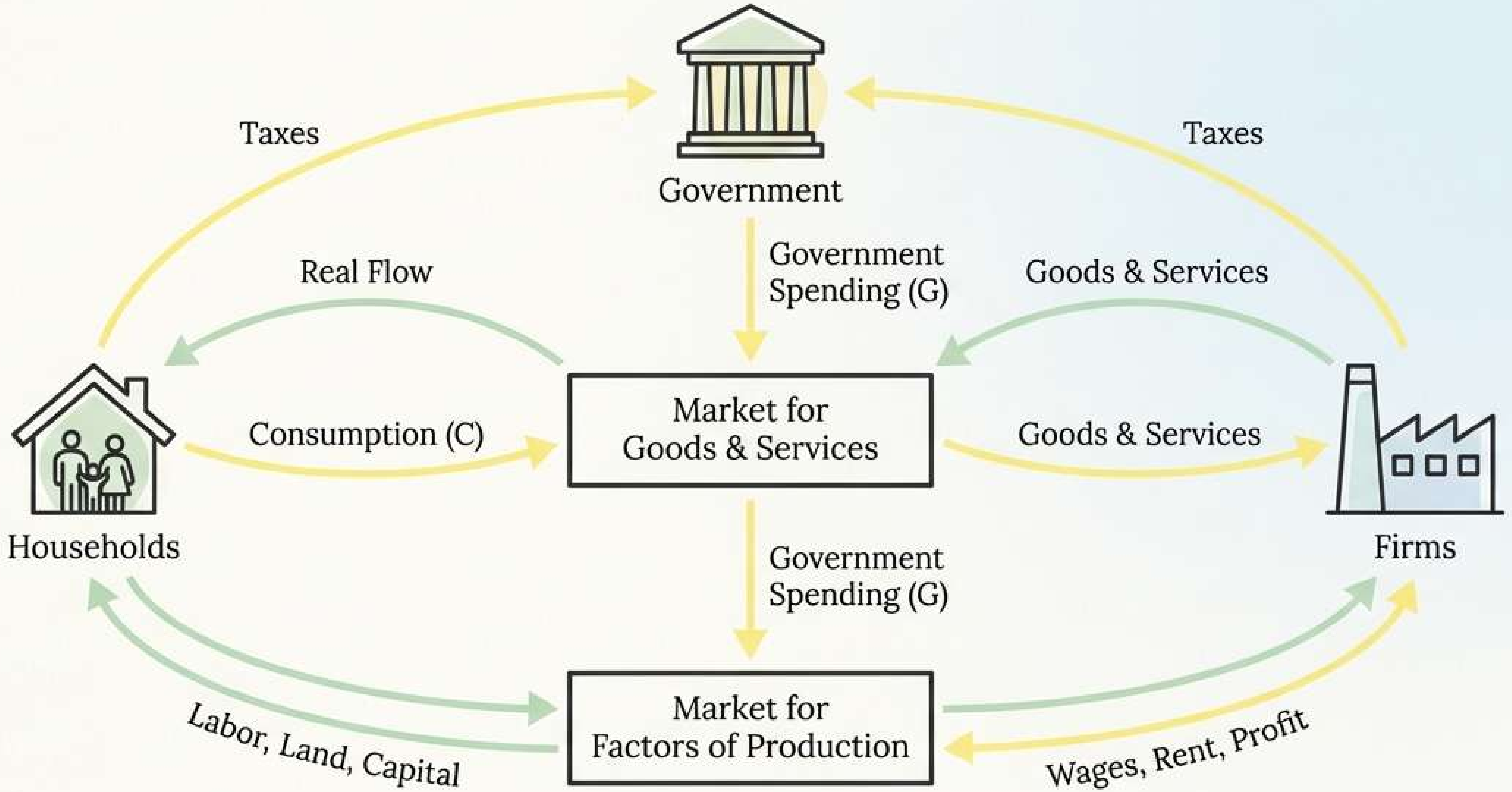
Visualizing the Flow of an Economy



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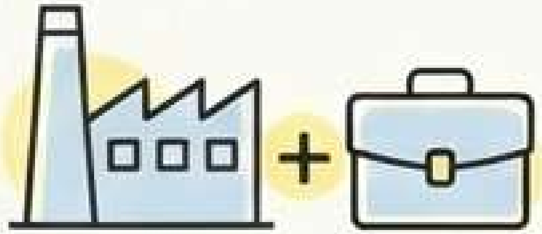
How Do We Measure Economic Performance?

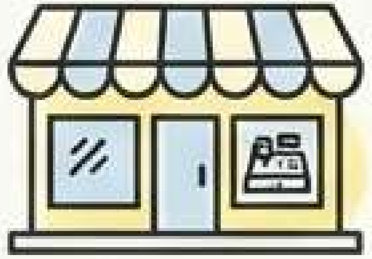
Economic Indicators detail a country's economic performance. Published periodically, they can predict future economic conditions that will move markets and guide investment decisions.

Gross Domestic Product (GDP): The broadest measure of a country's economic performance.

Consumer Price Index (CPI): The benchmark for measuring inflation.



Employment Data: Measures job growth and the output of factories, mines, and utilities.



Retail Sales: A proxy for consumer spending levels.

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Deconstructing a Nation's Output: The GDP Formula

Gross Domestic Product (GDP) calculates the total market value of all finished goods and services produced in a country in a given year.




$$GDP = C + I + G + NX$$

Consumption: Spending by households on goods and services.

Investment: Spending by businesses on capital goods (factories, equipment).

Government Spending: Spending by the government on public services and goods.

Net Exports: A country's exports minus its imports.

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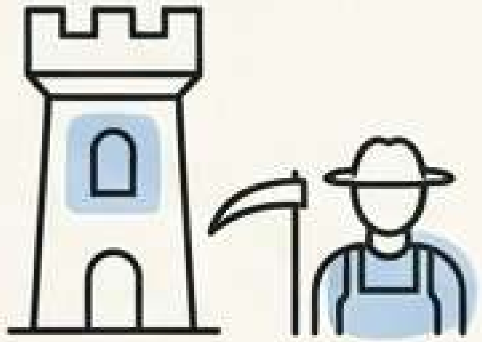
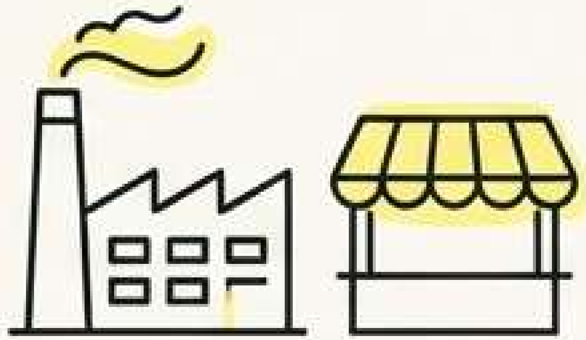
How Do Societies Organize to Allocate Resources?

Economic systems illustrate historical practices used to allocate resources to meet the needs of the individual and society.



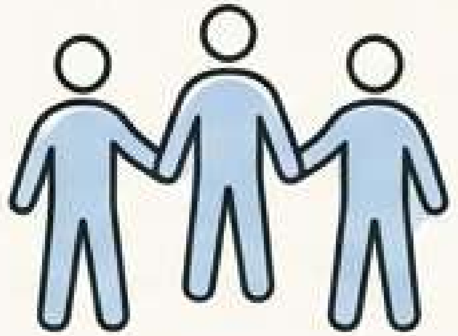
Feudalism

Defined by lords who held land and leased it to peasants for production.



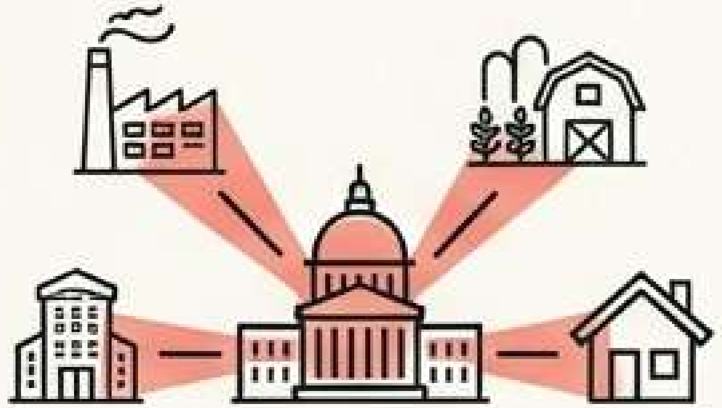
Capitalism

A system where business owners organize resources to produce goods for market consumption. Supply and demand set prices.



Socialism

A form of cooperative production economy with limited or hybrid private ownership of the means of production.



Communism

All economic activity is centralized through state-sponsored central planners with common ownership.

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What are the Guiding Philosophies of Modern Economics?

Neoclassical Economics

Illustrates the virtues of capitalism, including the tendency of market prices to reach equilibrium. The optimal valuation of resources emerges from the forces of individual desire and scarcity.

"The Invisible Hand" of the free market

Keynesian Economics

Argued that restrained markets and government intervention create a stable system. Advocated for policy to boost demand during economic downturns.

Government can stabilize the business cycle

Marxian Economics

A rejection of the classical view, arguing the free market benefits a select few by extracting value from the working class.

A critique of capital

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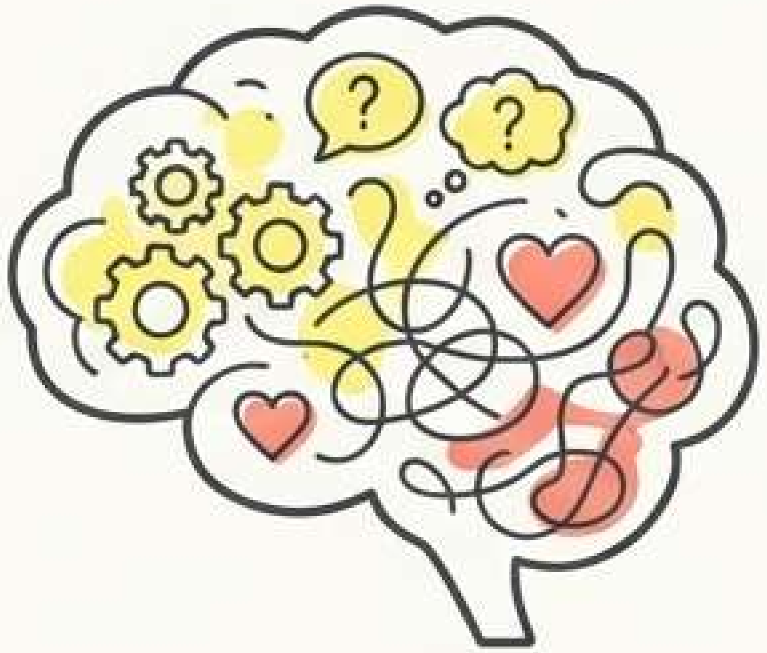
Is Economics Just About Rational Choices?

The rise of Behavioral Economics.

Traditional Economics

Assumes agents act rationally, have stable preferences, and seek to maximize outcomes.



Behavioral Economics

Combines psychology and economics to understand how cognitive biases and heuristics affect human behavior and decision-making.

Branches of economic thought continue to grow and change, integrating insights from other fields to better model how people truly behave.

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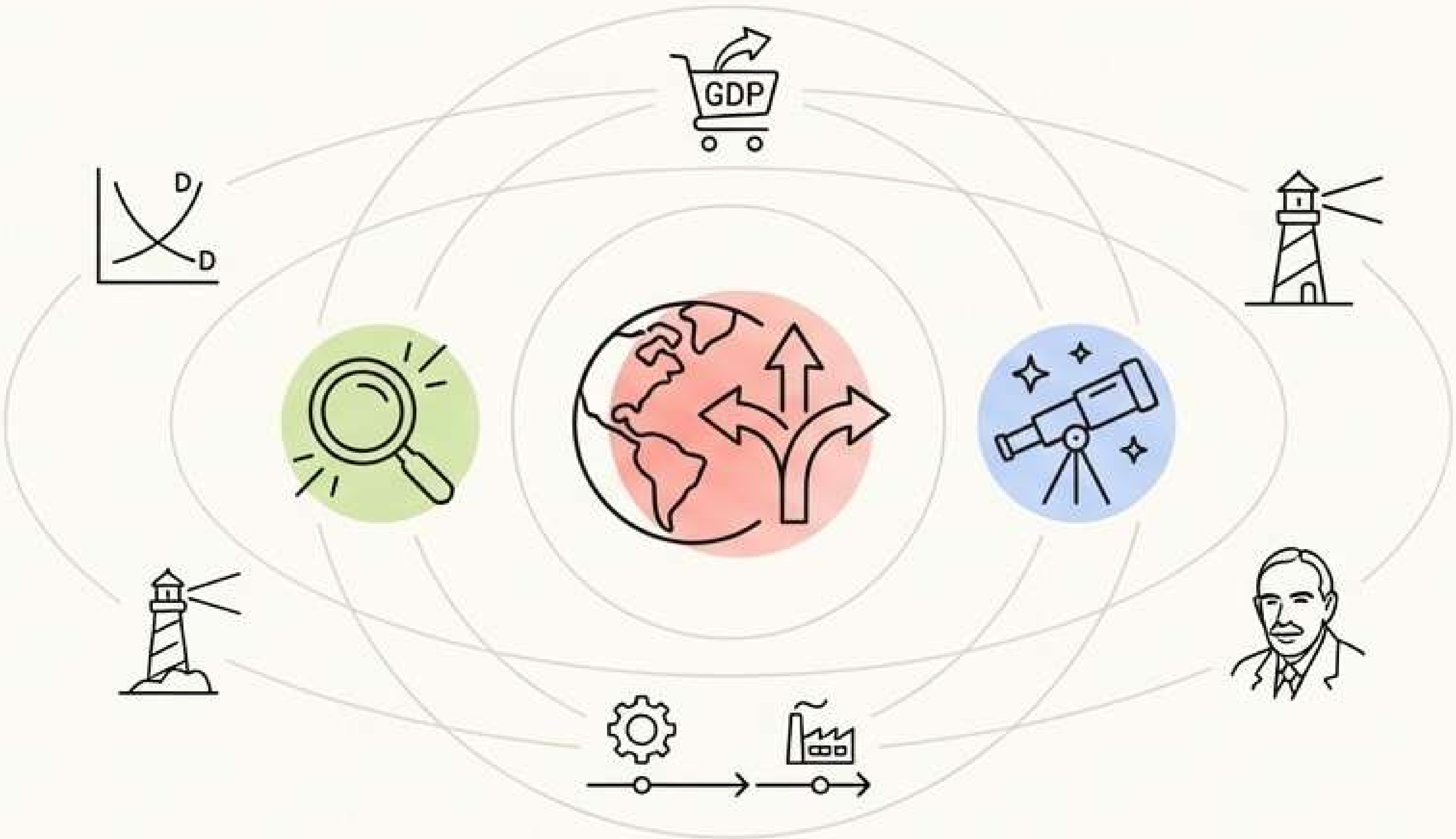
From Scarcity to Systems: An Enduring Dialogue



Economics is more than a set of theories; it is the continuous, critical conversation about how societies can best organize themselves to manage scarcity. It is a dialogue that shapes our policies, our businesses, and our daily lives, balancing the pursuit of efficiency with the values of equity and stability.

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